THE ENGINEER OF GRAFT

A Rs 10,000 bribe has led to the unearthing of a money-laundering racket worth over Rs 100 crore and put a top engineer of Jharkhand in the Enforcement Directorate's net

By Amitabh Srivastava

In February, when the Enforcement Directorate (ED) arrested Virendra Ram, chief engineer in the Jharkhand rural development department, for alleged money-laundering, he seemed just one of the routine catches. After all, a chief engineer does not figure very high in the pecking order of bureaucracy. As it turned out, however, the 56-year-old Ram, who has now been suspended, has become a textbook example of how corrupt government officials launder their ill-gotten wealth and stay under the radar of enforcement agencies.

On April 18, the ED issued orders to attach immovable properties worth Rs 39.28 crore that Ram had, including two flats and one plot in Delhi. Earlier in February, the agency had recovered Rs 19.45 lakh in cash, jewellery worth Rs 1.51 crore and some expensive cars from Ram's Ranchi home. The ED informed the PMLA (Prevention of Money-Laundering Act) court special judge that Ram had approached a Delhi-based chartered accountant last year, to launder his wealth, which was basically commission money running into several crores that he pocketed in return for contracts awarded to companies. The CA, who allegedly agreed to work for a fee of 2.5 per cent, was required to provide entries in the bank accounts of Ram's father Genda Ram and other family members.

Incidentally, Ram, in his recorded confession to the ED, has accepted that he took 0.3-1 per cent of the tender amount as commission from companies selected to execute works in his department. While it is difficult to assess exactly how much Ram may have amassed through various government schemes, one can get a rough idea from the fact that about Rs 10,966 crore was spent last fiscal to build 27,663 km of rural roads in the state, according to the Jharkhand Economic Survey 2022-23. And this is just one of the many rural development works that Ram may have spearheaded.

Though the ED probe is still ongoing and more breakthroughs are expected, the agency appears to have gathered enough evidence to nail Ram and also expose the elaborate network that facilitates large-scale money-laundering. For instance, the probe has tracked details of bank transactions confirming that Genda Ram received Rs 4.48 crore in just



SOMNATH SEN

A RECORD OF THE FAMILY'S DAILY EXPENSES SHOWED AN OUTGO OF Rs 49 LAKH IN JUST TWO MONTHS, MORE THAN THE THREE YEARS OF SALARY CREDITED TO RAM'S ACCOUNT